IT DILIGENCE DECISION SUMMARY

Cranmere Surveying acquisition

Prepared by Wilhelmina Arriaga for Hester Kilbride

DECISION REQUESTED

PROCEED ONLY SUBJECT TO CONDITIONS

The unresolved right to continue using the critical survey-processing capability after a change of control is material to continuity and must be closed or escalated before completion.

EVIDENCE BASIS AND LIMITS

Evidence reviewed: an unorganised data room of roughly 600 files, including licence registers, a vendor technology-diligence report, contractor invoices and Cranmere's risk log. No complete buyer-validated inventory or agreed buyer view was supplied. The invoice annex is a diligence lead, not proof of a contractual outcome.

WORKING DEFINITIONS

Day 1 means the first operational day after legal completion; it is not legal completion itself. Day 1 controls preserve service while ownership changes. The end-state technology model is the later, governed operating model once dependencies are resolved.

PRIORITY FINDINGS — RANKED BY CONTINUITY IMPACT, TIMING AND REVERSIBILITY

FINDING / EVIDENCE STATUS	DECISION IMPACT	REQUIRED CONDITION
1 Survey-processing licence Evidence: invoice annex signals a possible unassignable or consent-dependent change-of-control term. Unknown: contract wording, vendor position, renewal and	Loss or interruption could affect delivery of surveying work at the ownership transition. A trigger does not prove termination or block the transaction.	Legal + Technology: written assignability/consent confirmation, or a documented replacement and controlled fallback approved by the investment committee, before completion.
2 Entitlement, third-party and data dependencies Evidence: registers and three years of contractor invoices exist; scope and ownership have not been buyer-validated.	Unclear lawful use, concentrated knowledge or inaccessible project data may delay safe integration and continuity.	Technology + Legal: validate software/technology ownership and entitlement; identify contractor access/knowledge dependencies; name data owners, retention and migration validation before Day 1.
3 Security and resilience evidence gap Evidence: vendor report and risk log are available; effectiveness of access, recovery and critical-service controls remains unvalidated.	A control gap is not evidence of a breach. Uncontrolled access or untested recovery could amplify disruption during transition.	Security + Operations: Day 1 identity/privileged-access review, critical application/data inventory, protected backup evidence and recovery test or approved interim safeguard.

ESCALATION / DECISION GATE

If written consent/assignability confirmation or a committee-approved replacement-and-fallback package is not available before completion, Hester Kilbride escalates to the Investment Committee to pause, renegotiate or explicitly accept residual risk. This is a condition to proceed, not a post-close backlog item.

A conditional decision protects continuity without overstating the evide

Named transaction: Stellwyn Advisory Group's proposed acquisition of Cranmere Surveying | Audience: 4 September Investment Committee

RECOMMENDATION

PROCEED ONLY SUBJECT TO CONDITIONS

Why this posture

The evidence identifies a decision-relevant continuity uncertainty; it does not establish that the licence has terminated, that a breach occurred, or that recovery works.

WHAT IS CONFIRMED

An invoice annex raises a change-of-control lead for survey-processing software. Supporting records are not yet a buyer-validated entitlement view.

WHAT IS UNKNOWN

Contract interpretation, vendor consent, renewal/right to use, and the practical replacement/fallback position are unresolved.

WHAT MAKES IT DECISIVE

If the capability cannot lawfully and reliably continue through transition, operational surveying continuity may be affected at completion.

DECISION DISCIPLINE

- Treat the licence as a pre-completion condition because its timing, reversibility and business dependency outrank cleaner descriptive observations.
- Retain security, access, resilience, data and contractor work as defined transition conditions; do not convert evidence gaps into incident claims.
- If the condition cannot be closed, take the explicit alternative back to the Investment Committee rather than silently moving it into integration.

DECISION: PROCEED ONLY SUBJECT TO CONDITIONS

Conditions, accountability and closure tests

Conditions are separated from post-close improvement work. Owners are accountable functions, pending deal-team confirmation of named delegates.

CONDITION / PRIORITY	OWNER	TIMING	CLOSE WHEN	ESCALATE
P1 — Confirm survey-processing right to use after change of control; obtain consent, confirm assignability, or approve replacement + controlled fallback.	Legal + Technology	Before completion	Written vendor/legal confirmation; or documented replacement and transition control accepted by Investment Committee.	Hester Kilbride → Investment Committee
P2 — Protect critical operations: identify critical apps/data and owners; review joiner/leaver, shared and privileged access; evidence backup and recovery capability.	Security + Operations	Before Day 1	Signed transition control pack, access review and recovery test evidence — or expressly approved interim safeguard. A plan alone is not proof of tested recovery.	Technology diligence lead → deal lead
P2 — Validate entitlement/ownership, contractor dependency and data access, retention and migration validation scope.	Technology + Legal + Operations	Before Day 1; sequence migration post-close	Validated inventory, dependency map, data owner/retention decision and protected migration acceptance criteria.	Deal lead → Investment Committee if continuity is threatened

POST-CLOSE IMPROVEMENT BACKLOG — NOT A CONDITION TO PROCEED

Move toward the end-state governance model only after the above gates: rationalise architecture, formalise service ownership and vendor management, and execute approved data migration. These are not Day 1 promises.

Keep the service operating while control changes; build the operating r

Day 1 = first operational day after legal completion. It is an interim transition state, not the end-state architecture.

BEFORE COMPLETION

Close licence condition

Vendor/legal confirmation or approved alternative; decide escalation if unresolved.

DAY 1 TRANSITION

Protect service continuity

Retain approved survey-processing use/fallback; protect critical apps/data; control identity, privileged and contractor access; maintain backup evidence.

POST-CLOSE INTEGRATION

Validate and migrate safely

Confirm data access, retention and migration acceptance; test recovery rather than relying on a written plan; reduce third-party knowledge concentration.

END-STATE MODEL

Governed technology ownership

Accountable service owners, architecture governance, vendor management and a controlled data/application model — sequenced after transition dependencies.

OPERATIONAL GUARDRAILS

Critical capability: do not switch off or migrate the survey-processing service solely because legal ownership changes. Maintain approved access and a controlled fallback during transition.

Evidence discipline: a licence trigger does not prove termination; an access-control gap does not prove a breach; and a fallback plan does not prove recoverability until it is evidenced or tested.

FINAL DECISION: PROCEED ONLY SUBJECT TO CONDITIONS.